

Auto Financing Strategy

OpCo #4

26th June 2025



Objectives of the meeting

- Present value creation opportunities **prioritization framework** and priorities for 2nd SteerCo
- Deep-dive on **selected value creation opportunities** (i.e., operating/financial leasing, expanding digital presence, balloon financing)
- Agree on **next steps**

Value creation opportunities prioritization framework (1/2)

Value creation opportunities	Initiative	How to win	Economics for ERB, M€			Pre-requisites	Feasibility	
			RAR	Opex	Capex			
A Entering the Individual and SME leasing	A1 Launching operating leasing	Integrate the value chain and outsource services	Build the product in-house	~12	~2-3	TBD	Develop a BU dedicated FTEs with asset management capabilities (i.e., pricing, RV mgmt., re-marketing)	Example of successful banks grown organically (i.e., Huk-Coburg)
			Acquire an existing player (target)	Depending on the target			Cash to acquire a partner	No suitable target present in the market (TBC)
		Own the asset and partner with a LeaseCo for asset management	~5	~1	TBD	Selected FTEs and capabilities (i.e., RV mgmt.)	TBD To assess market to identify potential partner	
	A2 Launching financial leasing	Develop standardized bundled products and partner with dealers for sales	~3	-	TBD	Negotiate a standard service package with the dealers	Several examples of successful cases from other markets	
	B Expanding digital presence	B1 Expand Loan availability on marketplace	Propose pre-approved auto loan voucher for B2C listings and cash loan for C2C listings	~3-5	TBD	TBD	Marketplace partnership, digital infrastructure and B2C and C2C CJs	Defined partner marketplaces and customer journey
B2 Develop D2C journey on Eurobank's channel		Propose a branded D2C cash loan for auto on Eurobank web and app	~2	TBD	TBD	Digital cash loan customer journey already in place	Several examples of successful cases from other markets	
B3 Develop an omnichannel offering for OEMs and dealers		TBD	TBD	TBD	TBD	TBD		

Value creation opportunities prioritization framework (2/2)

Value creation opportunities	Initiative	How to win	Economics for ERB, €M			Pre-requisites	Feasibility
			RAR	Opex	Capex		
C Increasing used cars financing		Review current balloon financing product (i.e., no downpayment, better rates) and apply to used cars	~5-7	TBD	TBD	 Establish dealer buy-back agreements for used cars	 Feasible, depending on dealers' willingness to agree on buy-back based on car age
		Review credit policy					TBD
D Launching B2B offering	D1 Increasing dealers financing	Enhance current floor plan and stock finance product offer – <i>To be detailed</i>	TBD	TBD	TBD		TBD
	D2 Increasing fleet wholesale financing	TBD	TBD	TBD	TBD		TBD
Total			~20-30	TBD	TBD		

The key objective of the 2nd SteerCo is to present the “how to win” for each strategic option, along with associated economics and a prioritization of value creation opportunities

A | Potential options for Eurobank to penetrate the leasing market

Product	Options for “how to win”	Business model description	Main partners
Operating lease	1 Integrate the value chain and outsource services i Build the product in-house	ERB sets up full leasing operations internally (incl. asset management, customer service, pricing) Dealer provide maintenance, repairs and tires through workshop network as part of a partnership agreement with ERB	 Dealer
	ii Acquire an existing player (Target)	ERB acquires an existing LeaseCo to quickly gain full-service capabilities ERB (through integration of existing player) provides maintenance, repairs and tires through player’s workshop network	 Target’s partners (e.g., dealer)
	2 Own the asset and outsource asset management to a partner	ERB provides financing and holds vehicle ownership on balance sheet (as the lessor, ERB also provides motor insurance) Partner handles all operations (incl. contract management, services, remarketing), under ERB’s brand (“white label”)	 Partner (e.g., LeaseCo)
Financial lease	Develop financial leasing and generate cross-selling opportunity for dealers	ERB offers a simple financial lease product and develops a cross-selling service package that it negotiates with dealers Dealers offer optional service packages (maintenance, insurance, etc.) and cross-sells to customers	 Dealer

A | Split of responsibilities on different options

Responsibilities	Operating lease		+	Financial lease
	1 Integrate the value chain and outsource services to dealers	2 Own the asset and outsource asset management to a partner		
Pricing	 Pricing of leasing and services	  ERB prices leasing, partner prices services		
Car purchase/ownership				
Car sales				
Driver customer service	 or 			
Insurance				 Acts as broker generating cross-selling opportunity
Services				 Pre-negotiated upselling service package
RV management				
De-fleeting	 SLAs with 3 rd party providers			
Remarketing	 Buy-back agreement with dealer			 Buy-back agreement with dealer
Typical profit contribution captured by ERB	~100% Leasing contract financing, services, remarketing			~40% Leasing contract, commission on services cross-sold by dealers

A | Capabilities to be developed by Eurobank in different options

 Critical capabilities

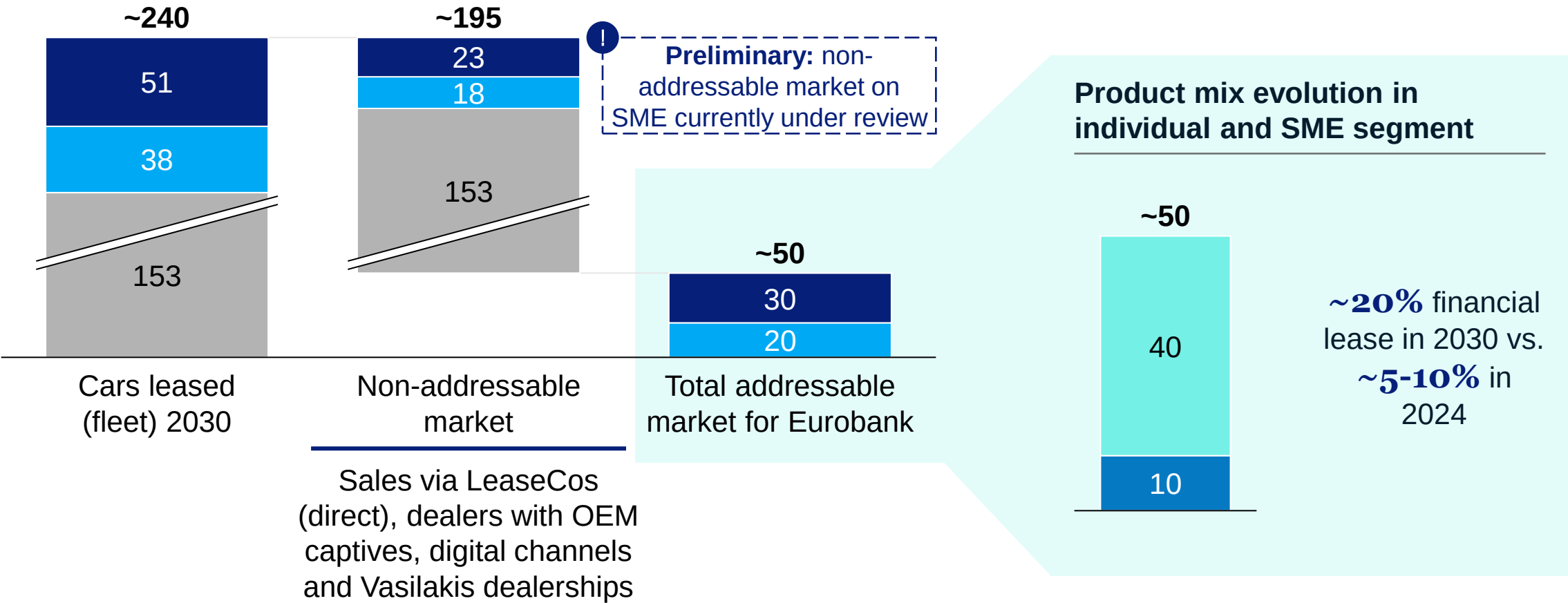
	Operating lease		+	Financial lease
	1	2		
Responsibilities	Integrate the value chain and outsource services to dealers	Own the asset and outsource asset management to a partner		Develop financial leasing and generate cross-selling opt. for dealers
Pricing	Build technical pricing model (maintenance, repairs, residual value, discount, funding) at brand x model level	Build technical pricing model with both own inputs (RV, funding) and inputs from partner (maintenance, repairs) at brand x model level		Develop of a simple pricing module on top of existing credit pricing model (linear depreciation of the car value)
Car purchase	Develop car procurement capabilities to buy the car at a discount			<i>Not critical – customer buys the car and ERB finances the acquisition</i>
Car sales	Dealer			
Customer service	Train (or dedicate) a team to service drivers (e.g., maintenance, relief/ replacement vehicles, car return) Potentially outsourced	N/A		N/A
Insurance	Existing capability			
Services	Dedicate (or setup) a team to steer the SLAs with the dealers	N/A		Dedicate (or setup) a team to steer the SLAs with the dealers
RV management	Build RV model at brand x model level, setup a dedicated risk governance and adapt risk appetite framework of the bank with new risk			Buy RV data from external quoters and set up a dedicated risk governance
De-fleeting	Buy a workflow tool to manage the de-fleeting process (e.g., car return)	N/A		N/A
Remarketing	Buy a remarketing tool and setup a remarketing channel strategy (which car on which channel)	N/A		N/A

A | Leasing market in 2030

Considering an average 3.5-year leasing contract

xx Market share, % Segment ■ Retail ■ SME ■ Corporate Product ■ Operating lease ■ Financial lease

2030 car leasing market (fleet) breakdown per segment and key channel, #k



A | ERB economics and profit before tax potential in each option

Deep-dive next

	Operating lease		+	Financial lease
	①	②		
	Integrate the value chain and outsource services	White label a third-party provider / partner		Develop financial leasing and upsell services
ERB fair market share, %	~30%	~30%		~50%
ERB fair market share ¹ , #cars	~12k cars	~12k cars		~5k cars
RAR ² per car, 2030	~1,070€	~430€		~490€
Total RAR, 2030	~12M€	~5M€		~3M€
Opex ³	(~2-3)M€	(~1)M€		-
PBT ⁴	~10M€	~5M€		~3M€
Investments required	TBD	TBD		TBD

! Preliminary: top-down assessment of Opex ; target FTE structure to be defined

No additional Opex if ERB launches operating lease

1. Depending on product mix scenario: 50/50 or 80/20 operating/financial ; 2. Weighted average on return after risk per year for new and used car: ~1,000€ for New Auto in 2024 and ~550€ for Used Auto ; 2.5% inflation p.a. from 2024 through 2030 ; Option 1 operating lease: Full value captured, incl. ~20% expected margin on maintenance, repairs and tires ; Option 2 operating lease: ~40% Leasing contract financing, commission on remarketing ; Financial lease: ~30% of contracts upsold with services unlocking services margin for which ERB takes a ~30% commission, ~20% of customers not exercising their buying option unlocking UCS margin ; 3. Staff, G&A and D&A expense estimated based on FTE benchmarks per function in a traditional LeaseCo ; 4. Profit before tax defined as RAR (-) Opex

1i | Preliminary scout of European players entering the individual and SME leasing market

Organic Hybrid M&A / JV

High Medium Low European player Local player New entrant

Country	LeaseCo	Mother group	Launch structure	Assessment of success level
	ayvens SOCIETE GENERALE GROUP	SOCIETE GENERALE	Founded in-house (1968), expanded via acquisitions (Europe, LATAM, APAC)	Largest leasing group in Europe (~3.3M vehicles), rapidly expanding via Stellantis deal
	ARVAL BNP PARIBAS GROUP	BNP PARIBAS	Founded in-house (1989), expanded via acquisition (PHH Europe, 2000)	~1.7M vehicles under management; key player in Europe, strong financial backing
	AUTO BANK	CREDIT AGRICOLE	Rebranded in 2023 from FCA Bank; previously a JV with Stellantis	Targets both retail and corporate customers, incl. strong OEM partnerships (e.g., VinFast, DR Automobiles, Aiyways)
	DRIVALIA	CREDIT AGRICOLE	In-house rental and mobility unit (rebranded from Leasys Rent)	Rapid pan-EU expansion (~70k added vehicles since 2023)
	LEASYS	CREDIT AGRICOLE STELLANTIS	Joint venture between CA and Stellantis (2017), later merged with Free2Move	Strong growth in Italy and France, 10th in EU FN50, scaling across Europe
	MOBILIZE Lease&Co	MOBILIZE FINANCIAL SERVICES	Launched Nov 2022 in-house; acquired German leasing firms July 2023	Early-stage, aggressive expansion strategy; potential to scale quickly
	LEX AUTOLEASE	LLOYDS BANKING GROUP	Grew via multiple banking acquisitions and mergers (2009 formation)	Former UK #1; now #2 behind Novuna; 278k fleet, some EV profitability challenges
	Santander Leasing Santander Consumer Renting	Santander	Established organically as in-house unit	Limited public data; present across several EU markets; modest size relative to Ayvens/Arval
	NF Fleet	NORDEA FINANCE ayvens SOCIETE GENERALE GROUP	Joint venture between Nordea Finance and ALD (2005), later merged with Free2Move	Active in Nordic region; moderate market visibility; no major global presence
	Nordania Leasing	Danske Bank	Long-standing leasing division of Danske Bank	Well-established and recognized brand in the Danish market yet not active in pan-European leasing
	SPARKASSE Leasing	ERSTE BANK	In-house expansion from savings banks	Fragmented; small leasing ops within retail banking group
	HUK-COBURG	HUK-COBURG	In-house expansion into leasing (from insurance roots)	<i>Early stage</i> Strong insurance brand in Germany; leasing is a small diversification area
	WABI	Santander Consumer Finance	In-house startup mobile subscription by Santander Consumer Finance	Experimental; still small-scale and focused on alternative mobility, not traditional leasing

Real-life example of Huk-Coburg entering the retail leasing market to follow

1iii | Potential players to acquire to enter the individual and SME leasing market

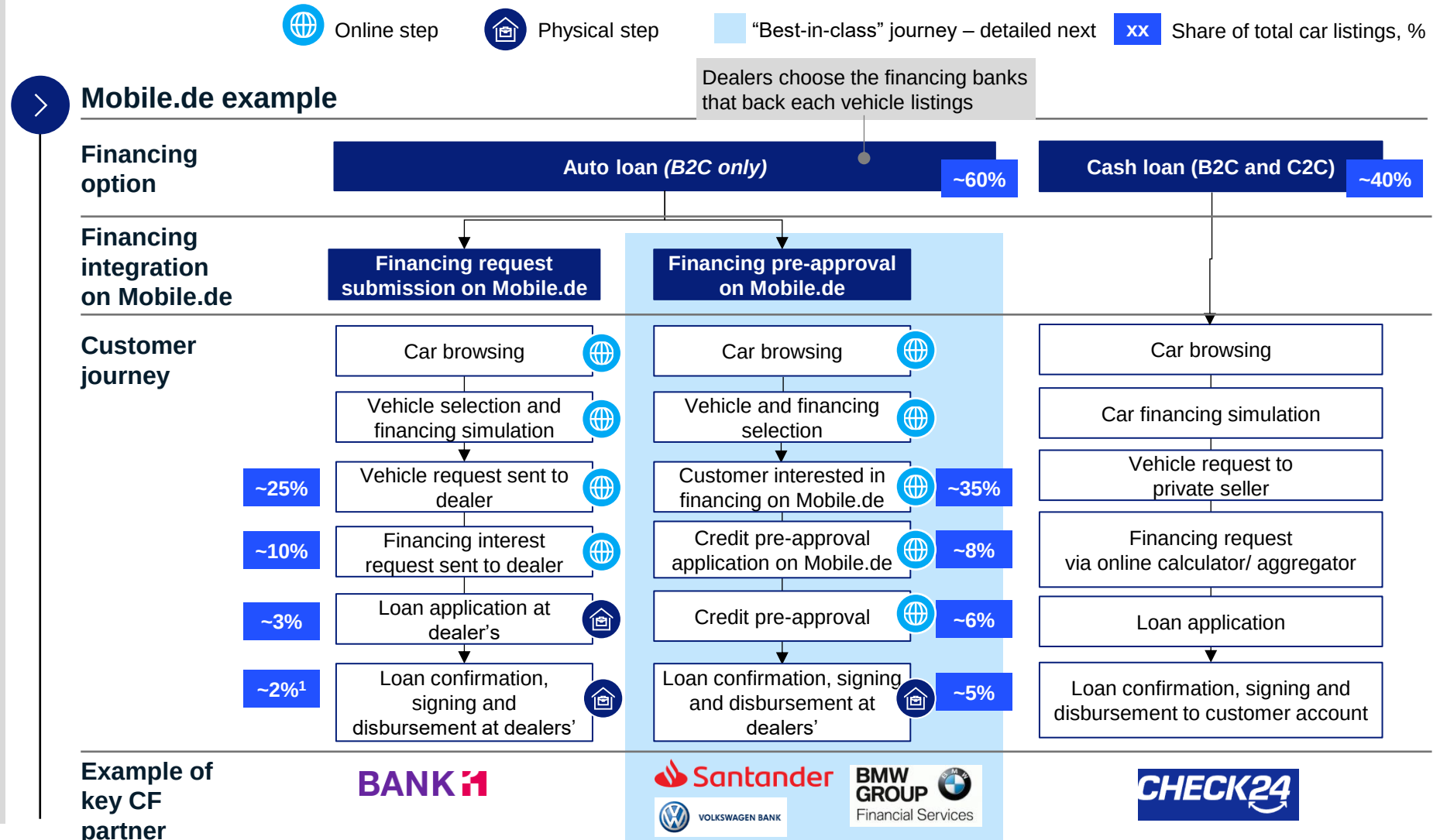
LeaseCo	Business model	Key KPIs				Strategic fit with ERB vision	Feasibility of potential strategic investment for ERB
		Revenue	PBT	Fleet size	# FTEs		
spot  wheel	Dual business model Digital used-car dealership platform Operating leasing provider	TBD	TBD	TBD	~250 FTEs	 Direct competitor of ERB current dealer network through used car sales	 Potential IPO anticipated as the company recently completed a +100M€ Series B highlighting its focus on growth
instacar	Mobility leasing and subscription provider	TBD	TBD	~600 cars	~120 FTEs	 Active in operating leasing with ~40% of customer base retail & SME	 ~38% stake currently held by Vassilakis Group, with intentions to expand ownership and secure majority control (>50%)
 FlexCar	Mobility leasing and subscription provider	TBD	TBD	TBD	~180 FTEs	 Active in operating leasing with ~30% of customer base retail & SME Smaller dealer groups, suggesting limited scalability potential	 +150M€ equity funded by VC, implying high expected returns and costly payback

B1| Example from the European market: Mobile.de offers an online financing journey for dealers' listings



Context

- Germany's largest online automotive marketplace, established in 1996
- Hosts over **1.4 M car listings**, with **~80%** sourced from dealers
- Loan offering includes **auto loans** in collaboration with **dealers' partner banks** and **cash loans** via the online comparison platform **Check24**

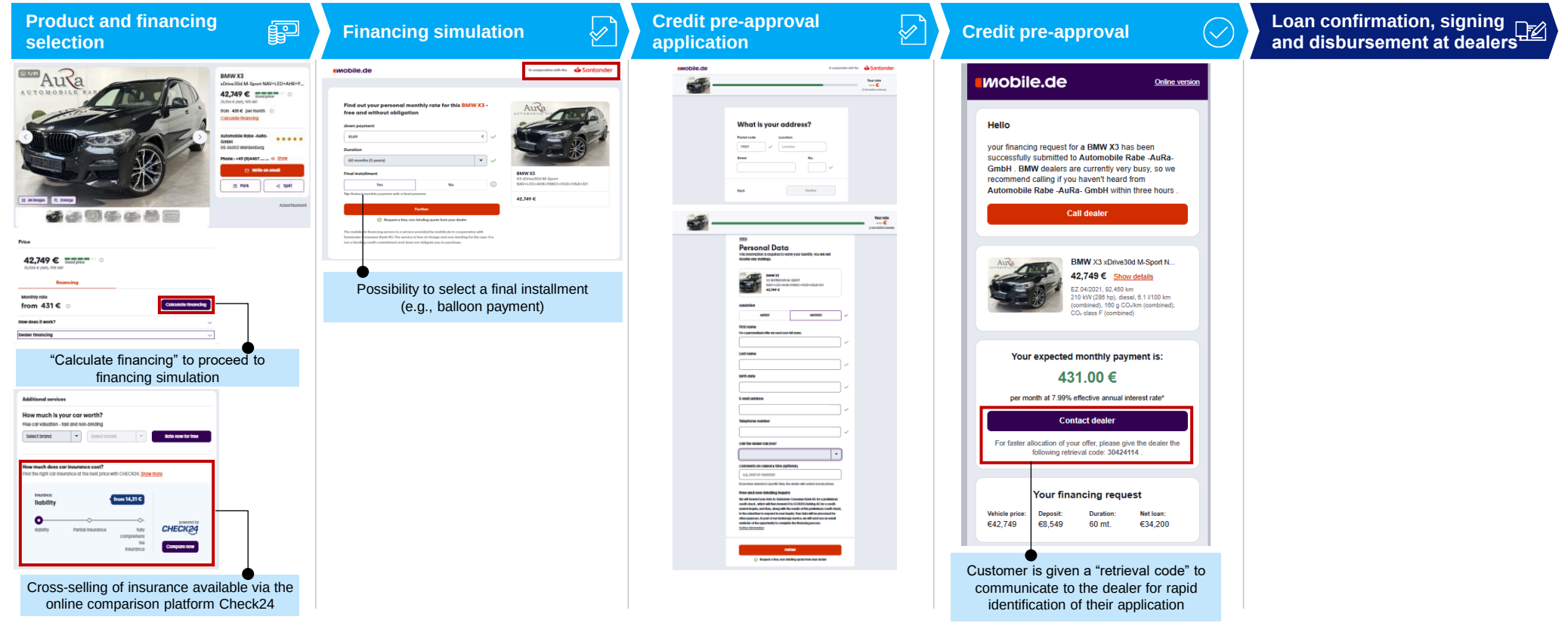


1. Assuming an approval rate of 60%

B1| Deep dive on Mobile.de customer journey for dealers' listings

Preliminary

Online step on Mobile.de Physical step at dealership



Key remarks

- Financing application seamlessly integrated into Mobile.de platform
- Credit pre-approval is a “soft” check, subject to final approval, signing and disbursement completed at the dealership
- Credit pre-approval outcome based on customer profile and loan amount and confirmation (e.g., email) tied to the car listing

Description	Customer visits the vehicle page to view car details and explore financing options Additional services (e.g., insurance) are offered via a partnership with Check24	Customer accesses a financing simulator on Mobile.de (in cooperation with Santander) to adjust loan terms, incl. duration, down payment and final installment	Customer submits a credit pre-approval application by entering personal information	Santander performs a SCHUFA-based credit check (i.e., Germany's credit bureau) Mobile.de emails the pre-approval decision to the end customer , including a dealer reference code	Dealer confirms vehicle availability and assists with final documentation and contract signing Upon loan confirmation, financing is disbursed directly to the dealer
Time		2 minutes	5 minutes	10 minutes – few hours	

B1 | Preliminary hypothesis of Eurobank B2B customer journey on Car.gr

Preliminary

Online step on Car.gr Online step on Eurobank website Physical step at dealership

	Product and financing selection 	Financing simulation 	Credit pre-approval application 	Credit pre-approval 	Loan confirmation, signing and disbursement at dealers' 
Description	Customer visits the vehicle page to view car details and explore online financing options	Customer selects Eurobank simulator on the vehicle page to preview “indicative” monthly installment	Customer is redirected to Eurobank website to initiate the credit pre-approval application	Eurobank processes the credit application and informs Car.gr of the result Car.gr notifies the credit pre-approval decision to the dealer and end customer, and issues a “ dealer reference code ” tied to the customer pre-approval	Dealer confirms vehicle availability and assists end customer with final documentation and contract signing Upon loan confirmation, financing is disbursed directly to the dealer
Key decision points	Define listings eligible to show Eurobank financing offer	n/a	Choose between: Customer-based pre-approval (e.g., based on customer's credit limit) or asset-based pre-approval (e.g., based on the specific car value) “Soft” (e.g., reject only blacklisted customers) or “full” credit pre-approval	Determine how to address the “ unhappy ” customer journey (e.g., end customer applying for financing above their eligibility)	
Preliminary hypothesis for Eurobank	Eurobank financing on all dealer listings	Indicative monthly installment estimates based on loan amount and tenure	End customer complete a customer-based “full” credit pre-approval application	The end customer receives the credit pre-approval decision which includes: - Customer pre-approved credit limit (i.e., maximum financing amount) Reference dealer code valid for a set period (e.g., 60 days) Disclaimer indicating that financing eligibility is subject to vehicles whose maximum loan duration + car age <12 years	
Open points	Possibility to offer cross-selling of additional services (e.g., car insurance)			Possibility to provide counteroffer in case of pre-approval negative outcome	

C| To strengthen its position in used car financing, Eurobank can enhance the competitiveness of its current balloon product

Preliminary

Key guidelines on balloon financing evolution

- Extension of **balloon financing** to **used cars**
- **No down payment required**, aligning with established practices in other markets
- **Vehicle used as collateral** through a **dealer buy-back agreement**, ensuring more competitive pricing

Key characteristics	Current offering	Potential target offering
Target cars	New cars	New and used cars
Downpayment	Minimum 15%	No downpayment
Dealer coverage	Toyota and Mercedes Benz dealers	Potentially extend to additional dealers (tbd)
End-of-term options	• Balloon repayment • Refinancing • Return the car via the dealer¹ buy-back agreement	• Same options maintained, also for used cars
Collateral	Car buyback agreement not recognized as collateral	Car considered as collateral via dealer payback agreement
Pricing	Similar to auto loans (e.g., ~8% + 0.6% interest for new cars)	Lower than auto loans, leveraging dealer-backed collateral to reduce CoR

Pre-requisite: establish dealer payback agreements specifically for used cars.

1. Selected dealers only (e.g., Toyota, Mercedes Benz)